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The US Council of Economic Advisers on Changing Female Labor Force Participation

The 2023 Annual Report of the Council of Economic Advisers (CEA), formally an annex to the Economic Report of the President *transmitted to Congress in March, is a 500-page document expanding on a number of economic issues of current policy salience. One such issue is the leveling off and then edging down of female labor force participation after 2000, following several decades of a strong upward trend. The report discusses this reversal, which precedes the labor force disruptions wrought by the Covid pandemic. It notes that it is not seen in other advanced economies and is anomalous given the rising educational levels of women. The usual explanations point to the disproportionate demands on women for both childcare and elder care, in a society with relatively low levels of public transfers. Childcare expenses are especially burdensome in the United States. However, as the report remarks as deserving of further investigation, "declines in participation among women are broad-based and are actually steepest among single women without children."*

Two passages from the report are reprinted below, from chapters 1 and 6 (pp. 35–41, 197–199).

Millions of American women entered the labor force in the latter half of the 20th century—with substantial implications for society, economic growth, and public policy. Between 1970 and 2000, U.S. women's labor force participation rose from roughly 43 percent to 60 percent (Figure 1). Although this overall trend masks important differences in levels of participation by dimensions such as race, age, income, and family status, virtually all groups of women saw large participation gains over these decades.

This period has been termed the "Quiet Revolution" by the economist Claudia Goldin, who has identified turning points in the late 1960s and early 1970s in the marriage age, college graduation rate, and extent of professional school enrollment for women—along with the gradual lifting of some discriminatory barriers for women, shifts in social norms for women's family and career decisions, and factors accounting for women's life satisfaction (Goldin 2006). Thus, Goldin attributes the increase in women's labor force participation to many factors, such as reduced labor market discrimination against women and women's increased choice in making reproductive decisions through the invention, dissemination, and legalization of the birth control pill.

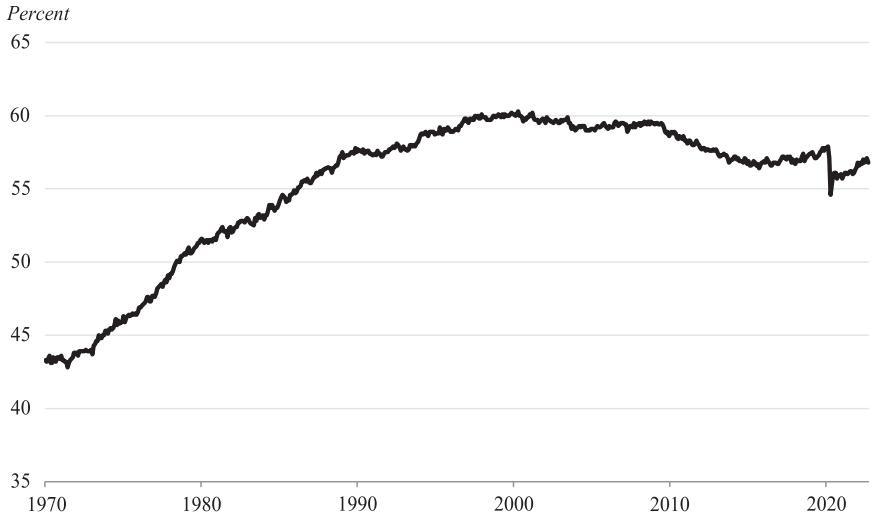
In addition to women's labor force participation, women's educational attainment increased drastically relative to men's. Today, women earn the majority of bachelor's, master's, and doctoral degrees (Figure 2).

The economic consequences of these trends are significant. Using a methodology similar to the one used in the 2015 Economic Report of the President, updated CEA calculations indicate that the U.S. economy was almost 10 percent larger in 2019 than it would have been without the increase in women's employment and hours worked from 1970 to 2019 (Council of Economic Advisers 2015).

However, starting in about 2000, women's labor force participation plateaued and began to decline. Men for their part have also seen a multidecade decline in participation, although they continue to participate at a higher rate than women. Removing barriers to women's and men's

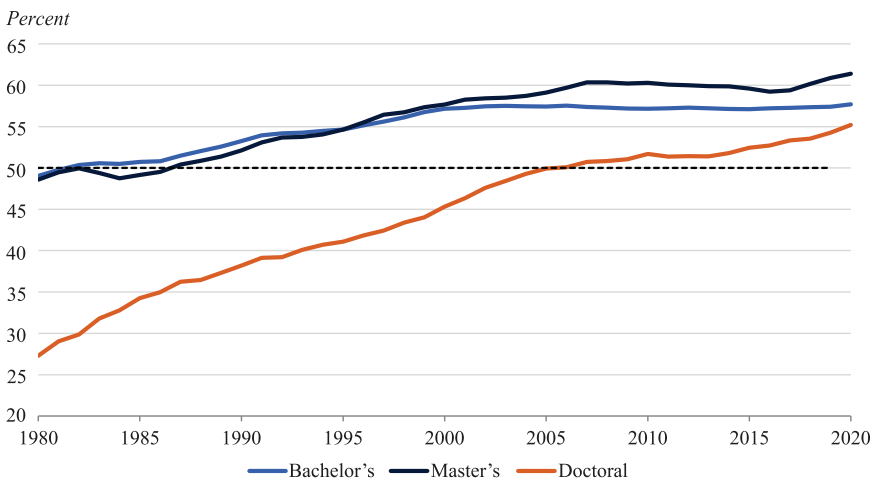
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FIGURE 1 Women's labor force participation rate, 1970–2022



SOURCE: Bureau of Labor Statistics.

FIGURE 2 Percentage of postsecondary degrees received by women, 1980–2020



NOTE: The dashed line indicates 50 percent. Doctoral degrees include all doctoral degrees, including M.D., J.D., and Ph.D.
SOURCE: U.S. Department of Education, National Center for Education Statistics.

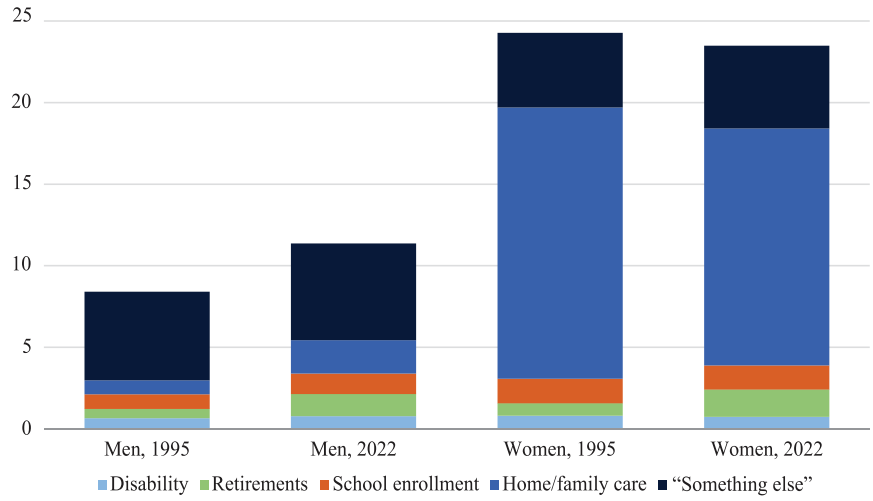
participation and educational attainment would ease labor constraints on firms that want to open or expand, boost long-run economic growth, and increase prosperity.

One factor affecting labor force participation, particularly for women, is household, community, and care responsibilities. Before entering the labor force in large numbers, women had long provided a large share of unpaid work in their homes and communities, including household maintenance tasks, raising children, caring for elder family members, and volunteering for community projects—work typically not captured in economic measures like GDP. Today, women working outside the home continue to disproportionately undertake these tasks; one recent study found that in heterosexual

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FIGURE 3 Nonparticipation in the labor force, by reason

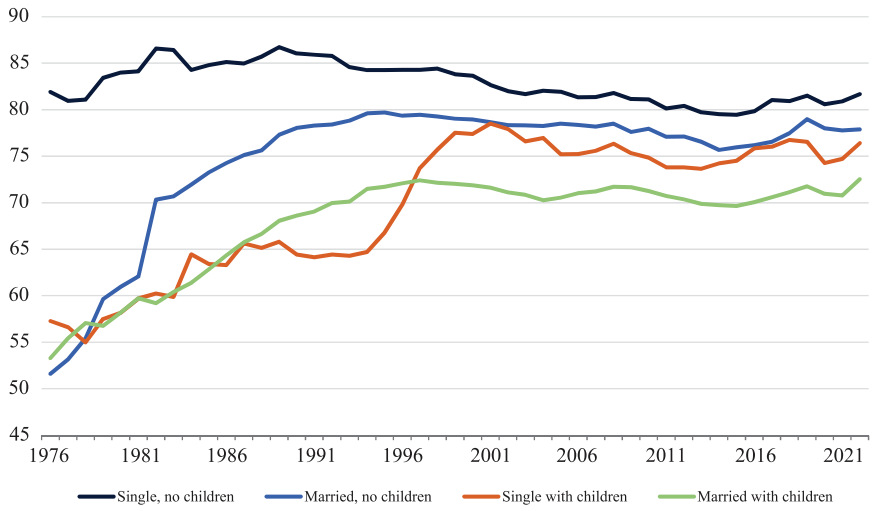
Percentage of prime-age people



SOURCES: Current Population Survey; CEA calculations.

FIGURE 4 Prime-age female labor force participation rate, 1976–2022

Participation rate, age 25–54 (percent)



NOTE: "Prime age" is 25–54 years. Data are annual averages.
SOURCES: Bureau of Labor Statistics; CEA calculations.

marriages, even when women's wages are more than double those of their spouses, women do 44 percent more household work (Siminski and Yetsenga 2022).

At the same time, in recent decades, the aging of the so-called baby boom generation (people born roughly between 1946 and 1964) and reduced fertility rates have

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increased the demand for senior care while constraining the supply of younger workers. The ratio of people aged 65 and above to the number of people aged 16–64, sometimes called the old-age dependency ratio, has more than doubled during the past seven decades. This has contributed to increased demand for care from adult children, creating the so-called sandwich generation of people who have care responsibilities for both older and younger family members. In 2017 and 2018, more than 8 million parents of children under 18 also provided senior care, including nearly 5 million mothers (BLS 2019).

Women's shift into the labor force and demographic changes were associated with an increased demand for paid workers to provide what was previously unpaid labor, particularly caring for young children and older or disabled adults. These care workers are often paid very low wages and are disproportionately women, particularly women of color.

To meet care needs, in recent years, multiple States and cities have passed legislation to provide paid family and medical leave for workers (National Partnership 2022). Additionally, private firms have increasingly provided paid family and medical leave, remote work adjustments, and other benefits to help workers balance their care and work responsibilities. However, the lack of a national paid family and medical leave program, of adequate affordable child care, and of Federal labor laws to guarantee flexibilities for workers with care responsibilities has limited the ability for caregivers, especially women, to remain in the labor force.

The actions of the private sector have not been enough to meet the scale of the problem. Inequality in who has access to these benefits means that workers in the top 10 percent of the wage distribution are nearly eight times as likely as the lowest paid workers to have access to paid family leave and more than four times as likely to have access to childcare through their work (BLS 2022). Low-wage and hourly workers can particularly struggle to manage work and care responsibilities due to limited workplace flexibilities, such as fair and predictable scheduling. Although data are limited, evidence suggests that the market and public sector underprovide both childcare and senior care. For example, the CEA's analysis of the 2019 National Survey of Early Care and Education indicates that nearly three-quarters of childcare centers are experiencing excess demand (i.e., have a waiting list or reject children due to limited capacity).

There are many reasons that the care industry has not been able to evolve to meet current needs. Among other issues, even as other service-providing industries have benefited from productivity-enhancing technological advances, the care industry has not; it still takes roughly as many people to watch 10 children today as it did 50 years ago, and the cost of childcare has risen in part due to increases in provider wages (although they are still quite low).[1] Between 1990 and 2021, the price of childcare rose by 225 percent while the median household income rose by roughly 150 percent. In addition, because families face liquidity constraints, like the inability to borrow against future income, they are often unable to afford the childcare that best meets their needs.

These challenges have a negative impact on labor force participation, particularly for women. In 2022, 14.6 percent of women between the age of 25 and 54 said that they were not in the labor force because they were caring for their home or family, representing roughly 60 percent of all the prime-age women not working. While some women may prefer providing family care to participating in the labor force, research suggests that for others, the cost of care limits their choices. Studies indicate that government policies that reduce the costs of care can strengthen participation, particularly for women (Morrissey 2017; Shen 2021). But relative to its peers, the United States provides few policies that could help families meet these care needs, such as paid family and medical leave and childcare investments—an observation researchers often make when discussing trends in U.S. female labor force participation (Blau and Kahn 2013). Whereas in 1985, the participation rate among

1 The Baumol–Bowen cost disease is what economists call this tendency for wages and costs to rise in industries that see smaller productivity gains in response to increases in wages and costs from industries that have seen larger productivity gains (Maiello 2017).

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women age 25 to 54 in the United States exceeded the rate in Canada, the United Kingdom, Japan, Australia, and the European Union, in recent years, the United States has experienced lower women's participation than Canada, the United Kingdom, Japan, Australia, and the European Union (OECD 2022).

Further, care responsibilities affect men's participation in the economy along with women's, particularly as gender norms evolve (Figure 3). In 2022, 2 percent of men between the age of 25 and 54 said they did not work due to home or family responsibilities, up from 0.9 percent in 1995. Subsidizing care for families while simultaneously investing in the supply of childcare would likely increase the overall number of workers who are able to enter the workforce, and thus facilitate economic growth.

…

Most of literature on declining female participation since 2000 has focused on factors affecting the maternal labor supply. When discussing why U.S. female participation has fallen behind that of other countries, a frequent observation is that the United States lacks publicly provided childcare and paid family and medical leave policies, which are common in most advanced economies. The United States spent only $2,600 on care and early education per child under 6 years of age in 2017, compared with the EU average of $5,500 (OECD 2019). In consequence, childcare in the United States consumes a significant portion of family budgets, with care costing up to one-third of the average earnings of a single mother (Ziliak 2014). Most of the empirical evidence indicates that publicly provided care options for young children boost the maternal labor supply (e.g., Gelbach 2002; Baker, Gruber, and Milligan 2008; Haeck, Lefebvre, and Merrigan 2015)…

However, there is no strong evidence tying childcare costs facing families to declines in female participation since 2000. Declines in participation among women are broad-based and are actually steepest among single women without children, whose participation declined by 7 percentage points between 1989 and 2016 (see Figure 4). In many ways, female participation trends after 2000 resemble those of men in the United States, who also had declining participation relative to other advanced economies during this period. While the factors driving declining participation among men have been the subject of much research, much less attention has focused on declines in women's participation—with a few notable exceptions, such as Black, Schanzenbach, and Breitwieser (2017) and Abraham and Kearney (2020). Although research has been understandably focused on the role of care in boosting the maternal labor supply, the factors driving declining participation among women without children are also worthy of further investigation.

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